WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

RUSSIA

Eurasia

Information current as of October 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Moscow	Capital and dominant commercial and financial centre; seat of the Government Commission that approves transactions involving investors from "unfriendly" states	Financial services, retail, consumer goods, professional services (subject to sanctions perimeter)
St Petersburg / Leningrad region	Second city, Baltic port gateway and host of the annual St Petersburg International Economic Forum	Port logistics, manufacturing, food processing
Krasnodar, Rostov and the southern agricultural belt	Core grain and food-producing region with Black Sea and Azov export ports; agriculture and food remain areas where humanitarian exemptions apply	Agriculture, agri-inputs, food processing
Volga region (Tatarstan, Samara, Nizhny Novgorod)	Established industrial and automotive base with a skilled workforce and long-standing foreign-joint-venture history	Manufacturing, petrochemicals, automotive components
Western Siberia (Tyumen, Khanty-Mansi, Yamal)	Heartland of oil and gas production; the sector most heavily covered by US, EU and UK sanctions	Oil and gas (largely closed to Western investors at present)
Russian Far East (Vladivostok, Khabarovsk)	Pacific gateway for trade with China and wider Asia, and host of the annual Eastern Economic Forum	Port logistics, fisheries, timber, Asia-facing trade
Krasnoyarsk / Norilsk (Eastern Siberia)	Major mining and metals centre; metals account for around a tenth of Russian exports	Metals and mining (subject to growing EU and UK import restrictions)

INVESTOR ENTRY ROUTES

- Sanctions licensing route: US (OFAC), UK (OFSI) and EU national competent authorities issue general and specific licences; US General License 6D authorises certain transactions in agricultural commodities, medicine and medical devices
- Government Commission for Control over Foreign Investments (chaired by the Minister of Finance): approval required under Russian counter-measures for share deals and exits involving investors from "unfriendly" states, with presidential consent for assets above RUB 50 billion
- Bank of Russia currency regime: the rouble floats, but proceeds and payments due to investors from "unfriendly" states are typically credited to special rouble accounts in Russia and cannot be freely transferred abroad

- Case-by-case "return" framework announced by the Government in March 2025, under which a special commission will assess applications from foreign companies seeking to re-enter, prioritising those that preserved jobs and technology
- Permitted-sector participation for existing operators in food, agriculture, medicine and other humanitarian supply chains, structured within the licence and exemption perimeter of each investor's home jurisdiction
- Normalisation-readiness route: maintaining compliant legal entities, contracts and relationships so that investors are positioned to act promptly if and when sanctions are lawfully eased

MARKET-ENTRY OBSERVATION

Russia remains one of the world's largest economies, with GDP of around $2.56 trillion in 2025, and in October 2026 it is in a phase of policy normalisation after the overheating of 2023–24. Growth slowed to 1.0% in 2025 from 4.9% in 2024, and Rosstat estimates GDP grew 0.6% in the first half of 2026, with the second quarter improving to 1.3% after a calendar-affected first quarter; the Bank of Russia projects 0–1% for 2026 and 1.5–2.5% for 2027. The central bank has cut its key rate from a historical high of 21% to 14%, holding it there on 11 September 2026 with annual inflation at 6.35% in September and a 4% target for 2027; its next decision is due on 23 October. External buffers are substantial: international reserves stood at $723.5 billion on 9 October 2026, the current account surplus widened to $21.4 billion in the second quarter as energy export prices rose, and government debt was a modest 18.3% of GDP in 2025. Foreign direct investment remains in net outflow, although the outflow narrowed to about $1.4 billion in the first quarter of 2026 from $4.0 billion in the previous quarter.

Russia's defining structural feature for international investors is the legal environment created by the war in Ukraine. US persons are prohibited from new investment in Russia under Executive Order 14071, the EU adopted its 20th and 21st sanctions packages in April and July 2026, and the UK announced its largest package since 2022 in February 2026, with further designations of banks and vessels in August. Russia's counter-measures require Government Commission approval for exits by investors from "unfriendly" states, on terms that since October 2024 combine a minimum 60% discount with a 35% "voluntary" budget contribution. Diplomacy remains active: in October 2026 US envoys were pursuing proposals with Ukrainian and Russian counterparts and Moscow was seeking sanctions relief as part of an energy ceasefire, but no sanctions have been lifted and the EU is preparing a further package. For compliant investors, the opportunity lies in two areas: lawfully permitted activity such as food, agriculture and medicine, and careful readiness for any future easing, given Russia's scale, resource base and strong reserve position.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US, EU and UK sanctions	Comprehensive sanctions prohibit most new Western investment, restrict trade, finance and many professional services, and block major companies including Rosneft and Lukoil (US, since October 2025)	Engage specialist sanctions counsel in every relevant jurisdiction; confine activity to permitted sectors and licensed transactions, and monitor updates closely
Russian counter-measures and exit conditions	Investors from "unfriendly" states need Government Commission approval to sell, with a minimum 60% discount and a 35% budget contribution; deals above RUB 50 billion need presidential consent	Treat Russian exposure as long-term; existing investors can plan governance and asset protection carefully, and the Finance Ministry indicated in December 2025 it did not intend to tighten terms further
Capital controls and repatriation	Sale proceeds and many payments to investors from "unfriendly" states are paid in roubles into designated Russian accounts and cannot be freely moved abroad	Model cash flows assuming funds remain onshore; obtain Russian-law advice on permitted uses of rouble balances
Secondary sanctions and payment channels	US secondary-sanctions authorities and EU transaction bans extend to third-country banks and firms that facilitate prohibited business, which constrains payment routes	Use only screened banking partners and documented licence or exemption coverage for every payment flow
Slower growth and tight monetary	Growth is projected at 0–1% in 2026, with	Easing rates and a 4% inflation target for

Issue	Potential Impact	Possible Mitigation
conditions	a key rate of 14% and inflation of 6.35%; the federal deficit reached RUB 5.7 trillion (about 2.5% of GDP) in January–June	2027 point to improving conditions; reserves of $723.5 billion provide a sizeable buffer
Conflict-related disruption to energy infrastructure	Drone strikes on refineries reduced refined-product exports to 1.9 million barrels a day in June 2026 from over 2.5 million, and diesel exports have been restricted	Factor logistics and supply interruptions into planning for any permitted trade activity
Uncertain timing of any normalisation	Negotiations are active and Russia is seeking sanctions relief, but no relief has been granted and the EU is preparing a further package	Build scenario plans for both continued restrictions and phased easing, so that decisions can be taken quickly and lawfully when the position changes

INVESTOR RISK NOTE

Russia offers scale, a large resource base and strong external buffers — reserves of $723.5 billion, a widening current account surplus and government debt of 18.3% of GDP — alongside a central bank that has cut its key rate from 21% to 14% and is targeting 4% inflation in 2027. These strengths currently sit within a highly restrictive legal environment that investors must treat as the starting point for any analysis. US, EU and UK sanctions prohibit most new Western investment and have continued to expand through 2026, US secondary-sanctions authorities extend risk to third-country counterparties, and Russia's own counter-measures make exits by investors from "unfriendly" states slow, approval-dependent and very costly, with proceeds generally held onshore in roubles. Active diplomacy, including US-led talks in October 2026, creates a credible possibility of future change, but no sanctions have been eased and timing cannot be predicted. Investors should therefore confine activity to what is lawfully permitted in each relevant jurisdiction, take specialist sanctions and Russian-law advice before any step, and use this period to prepare well-documented scenario plans for any future lawful normalisation.

MARKET ACCESS

Russia is a member of the Eurasian Economic Union (EAEU) alongside Kazakhstan, Belarus, Armenia and Kyrgyzstan, and a member of the WTO and BRICS. Since 2022 its trade has reoriented decisively from Europe towards Asia, with China, India and Türkiye now its principal partners, and with Asia-facing routes through the Far East ports, the Northern Sea Route and the International North–South Transport Corridor gaining in importance. Exports rose 27.8% year-on-year to $40.9 billion in August 2026 on higher energy prices, with fuels and energy making up the majority of exports, followed by metals, chemicals, machinery and agricultural products. For Western investors, access to the Russian market is shaped primarily by home-country sanctions and export controls rather than by tariffs, and the EU and UK continue to widen restrictions on imports of Russian goods, including metals and LNG-related services, so trade activity requires careful product-by-product compliance review.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Vladimir Putin)	Sets strategic and foreign policy, including the negotiation stance on Ukraine and sanctions relief; presidential consent is required for exits above RUB 50 billion	Key reference point for assessing the direction of any future normalisation
Government Commission for Control over Foreign Investments (Ministry of Finance)	Approves share transactions and exits involving investors from "unfriendly" states, setting discount and budget-contribution terms	Essential counterpart for existing investors managing or restructuring Russian assets, via Russian counsel
Bank of Russia	Monetary authority and regulator of the currency regime; key rate at 14% with next decision on 23 October 2026; subject to US, EU and UK restrictions	Relevant for understanding rouble, capital-control and banking conditions

Actor	Why It Matters	Waverley Engagement Angle
Government of the Russian Federation (Prime Minister Mikhail Mishustin)	Announced the case-by-case framework for foreign companies seeking to return to the Russian market	Relevant for investors assessing future re-entry options
Ministry of Economic Development	Leads economic forecasting and investment-climate policy	Useful source of official outlook and sector policy
US Treasury (OFAC), UK OFSI and EU national competent authorities	Administer the sanctions regimes and issue general and specific licences governing any Russia-related activity	First point of contact, through counsel, for licence applications and compliance guidance
Rosneft and Lukoil	Russia's two largest oil companies, both designated by the US in October 2025; OFAC licences cover only limited activities, such as certain Lukoil retail stations outside Russia	Monitor only; any engagement requires explicit licence coverage

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Association of European Businesses and the American Chamber of Commerce in Russia continue to serve member companies that maintain operations in Russia, and are useful sources of practical intelligence on the evolving regulatory and counter-measures environment, alongside the Russian Union of Industrialists and Entrepreneurs for domestic business liaison. The St Petersburg International Economic Forum and the Eastern Economic Forum in Vladivostok are the principal government-led investment events, although attendance and any engagement with designated persons require prior sanctions screening. Western multilateral development banks, including the EBRD and World Bank, have suspended new activity in Russia since 2022. For most international investors the most valuable channels at present are specialist sanctions and Russian-law advisers, home-government licensing authorities and industry associations tracking the negotiation track.

INVESTOR PROFILE BEST SUITED

Russia currently suits a narrow but well-defined set of investors: companies already operating in Russia in permitted sectors such as food, agriculture, medicine and consumer staples, which can continue under the relevant licences and exemptions; long-horizon strategic investors and brand owners who exited or paused operations and wish to monitor the Government's case-by-case return framework while preparing for any lawful normalisation; and investors from jurisdictions that do not impose sanctions, who must still assess carefully their exposure to US secondary sanctions and EU and UK restrictions. All investors should treat sanctions compliance, counter-measures exposure and onshore cash management as core elements of any Russia strategy.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Commission specialist sanctions and Russian-law advice
Map the US, EU and UK rules that apply to your group, nationals and counterparties, together with Russian counter-measures, before taking any step.

STEP 2: Define the lawful activity perimeter
Identify activity covered by general licences or humanitarian exemptions, such as food, agriculture and medicine, and apply for specific licences where needed.

STEP 3: Screen every counterparty and payment route
Check owners, banks, vessels and intermediaries against current designation lists and secondary-sanctions guidance, and refresh screening regularly.

STEP 4: Plan for onshore rouble balances and exit conditions
For existing assets, model the Government Commission's discount and contribution terms and permitted uses of rouble funds held in Russia.

STEP 5: Prepare scenario plans for future normalisation
Track the negotiation process, EU sanctions packages and OFAC licences, and keep documented readiness plans so that any lawful easing can be acted upon promptly.